Duplicate Transactions and Reference Errors Policy

Owner: Financial Operations and Compliance. Synthetic policy for the FinRecon AI demonstration.

1 Purpose

This policy sets out how duplicate transactions, reference errors and anomaly indicators found during reconciliation are handled.

2 Duplicate bank credits

When the same settlement is credited more than once, the extra credit must not be reversed or returned until the bank confirms in writing that it is a duplicate. Record the duplicate as a liability to PayGate pending confirmation. Resolution requires Financial Operations Manager approval.

3 Customer double charges

Two charges to the same customer for the same order reference within 10 minutes are treated as a potential double charge. Confirm with the merchant whether two purchases were intended. If not, the merchant refunds the second charge through PayGate within 5 business days. Never refund on the basis of the reconciliation result alone.

4 Reference errors

A bank credit whose reference does not exactly match a settlement may be matched manually only when the amount, currency and date window all agree and exactly one candidate settlement exists. Manual matches require a second reviewer (maker-checker) and a note explaining the reference difference. Recurring reference errors from the same bank are reported to Treasury.

5 Anomaly indicators

Statistical indicators such as unusually large payments or bursts of payments from one customer are reasons to review, not findings of wrongdoing. Indicators involving more than 10,000 in any currency, or more than five payments from one customer within an hour, are referred to Compliance for review. Staff must not describe a customer as fraudulent in case records.